

compounds to \$1.63; at 15 percent, it compounds to \$4.05. As a dollar invested for one year is likely to end up at the end of the year between \$0.92 and \$1.28, the spread in liquidating value over one year is far narrower than the probable outcomes over a ten-year holding period, despite the greater standard deviation of returns. So where is the uncertainty greater—in the short run or the long run? Talk about the ocean being flat! It could be very flat indeed.

2. *Liquidity*

When you buy something to make a few points, or even ten or twenty, eighths and quarters matter. Good execution counts for a lot. When you buy to hold for the long run, for years, even a few points on the price will not matter a great deal. Liquidity is a concern of the short-term investor and a minor matter for the long-term investor.

Volatility is noise. The short-term trader bets on the noise; the long-term investor listens to the signal.

The point is obvious, but it receives too little attention. How much does pricing matter for assets that are not about to be liquidated? If you are a multibillion-dollar investment management organization that has no choice but to acquire and hold indefinitely Exxon and IBM and other major high-cap companies, what difference does the daily price fluctuation make? Why bother to watch their daily action? Throughout our financial system, many more assets are marked to market than is necessary, creating serious distortions as to the soundness of the institutions involved. Assets held for the long pull are simply not the same thing as assets that are to be liquidated in a matter of weeks or months.